Robinhood Markets, Inc.

HOOD NASDAQ

Buy	$110.67 ▲ 1.33%	12M Price Target	52-Week Range	Market Cap
		$135.00	$63.52 – $150.47	$99.50B

HOOD: Grinding Higher as Crypto Rules Clear Up

WHAT HAPPENED

- HOOD quietly ticked up 1.3% to $110.67 on light volume — no news, no filings, just drift higher. That's actually a bullish tell: when a stock grinds up on no catalyst, it usually means institutions are accumulating in the background rather than retail chasing headlines.
- Options flow is screaming bullish — the put/call ratio is 0.45 (meaning more than 2 calls bought for every put), and someone just bought nearly $1M of November $115 calls at 4.7x normal open interest. Smart money is positioning for a move higher into year-end.

WHY IT MATTERS

Here's what's really going on: HOOD is sitting at 54% of its 52-week range after pulling back from $150, and the quiet accumulation pattern plus aggressive call buying suggests big players think the pullback is done. The bigger backdrop matters — under the current administration's crypto-friendly posture (SEC softened enforcement, the CLARITY Act framework giving crypto exchanges real rules of the road), Robinhood's crypto business has structural tailwinds its 2022-era bear case never priced in. If you believe retail trading volumes stay elevated and crypto keeps getting regulatory clarity, this stock has a path to re-test the $150 highs. The thing to watch: whether this is just a drift or the start of a leg up — if volume picks up with price in the next 5 sessions, that's your confirmation.

POLICY & POLITICAL WATCH

The big one for HOOD is the crypto market structure legislation (the CLARITY Act framework and follow-ons) — it formally splits oversight between the SEC and CFTC and gives platforms like Robinhood a clear path to legally offer more tokens and products. That's a massive moat because it legitimizes HOOD's crypto arm (now a huge revenue line) while squeezing out unregulated competitors. Also watch any renewed noise around banning payment-for-order-flow (how HOOD makes money routing your trades to market makers like Citadel) — the SEC under the current administration has backed off that fight, but it's the single biggest regulatory risk to the business model if it ever comes back.

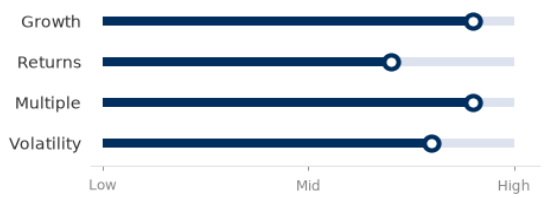
IS IT EXPENSIVE?

At $99.5B market cap and roughly 24x next year's revenue estimate, HOOD is not cheap — you're paying $24 for every $1 of revenue the company will generate in 2027. But forward P/E around 46x (meaning $46 for every $1 of earnings) is actually reasonable given revenue is growing 25%+ and they just started being consistently profitable. The valuation makes sense IF crypto volumes hold up and they keep launching new products (prediction markets, retirement accounts, banking) — it's expensive but not insane for a profitable fintech growing this fast.

Key Data

Price (USD)	**$110.67**
12M Price Target	**$135.00**
Upside / (Downside)	**+22.0%**
Market Cap	**$99.50B**
FY2026E Revenue	**$4,200M**
FY2027E Revenue	**$5,300M**
FY2026E EPS	**$1.85**
FY2027E EPS	**$2.40**
Fwd P/E	**59.8x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

HOOD — Robinhood Markets, Inc. | October 13, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$125.00**	$115.00	**$98.00**
6 Months	**$150.00**	$125.00	**$85.00**
1 Year	**$175.00**	$135.00	**$75.00**
2 Years	**$220.00**	$160.00	**$70.00**
5 Years	**$320.00**	$210.00	**$60.00**
10 Years	**$500.00**	$280.00	**$50.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+5.3% over 5 days) is leading on oil price strength and geopolitical tension; Communications Services and Utilities also catching bids as rates expectations soften.

COOLING OFF: Nothing is really getting crushed today, but Consumer Discretionary and Staples are flat-to-lagging — suggests the market isn't in risk-off mode but also isn't buying consumer strength.

ROTATION WATCH: Money looks like it's rotating toward rate-sensitive and cyclical names — that's a modest positive for HOOD because lower rates = more risk-taking by retail = more trading volume.

RELATED PLAY: If you believe the retail trading boom continues, Coinbase (COIN) and Interactive Brokers (IBKR) ride the same wave; CME Group (CME) benefits from the options-trading explosion as the exchange that houses many of those contracts.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto regulatory clarity wave as HOOD, benefiting from institutional crypto adoption.
- IBKR (Interactive Brokers): Benefiting from the same options-trading boom but with a more professional/international user base.

HOOD CONTEXT: HOOD is roughly in line with its fintech/exchange peer group — not leading, not lagging. That's actually fine here; it means the stock is tracking the sector fundamentals rather than being driven by company-specific noise. For HOOD to break out and lead the group, we'd need a product catalyst (banking launch traction, prediction markets scaling, or international growth numbers).

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup (bullish options flow, institutional accumulation, policy tailwinds) but I'm not pounding the table at $110 when it was $63 earlier this year.

POSITION SIZE: 3-5% of portfolio — real upside but this stock can drop 30% in a month when sentiment shifts, so don't go overweight.

ENTRY POINTS: I'd add on pullbacks to $95-105 (any macro scare day), and chase only if it breaks above $115 on heavy volume with conviction.

TIME HORIZON: 12-24 months — catalysts I'm waiting for are the crypto market structure bill becoming law, banking product launch metrics, and Q4 earnings showing options/crypto volumes held up.

WHEN TO BAIL: If crypto trading volumes drop more than 40% quarter-over-quarter, if the SEC reopens the payment-for-order-flow fight, or if the stock breaks below $85 on heavy volume.

HEDGING: Simplest hedge — if you own 100 shares, buy one put option 10-15% below current price expiring 3-6 months out. Costs you a small insurance premium but caps your downside if the stock craters.

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